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DOCKET NO. 23-08

**MEDITERRANEAN SHIPPING COMPANY, S.A. – POSSIBLE VIOLATIONS OF THE
SHIPPING ACT, 46 U.S.C. §§ 41102(c), 40501 and 41104(a)(2)(A)**

**REPLY BRIEF OF THE
BUREAU OF ENFORCEMENT, INVESTIGATIONS, AND COMPLIANCE**

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Table of Contents

I.	INTRODUCTION	1
A.	Procedural History	2
II.	ARGUMENT	3
A.	MSC Knowingly and Willfully Violated 46 U.S.C. § 41102(c) with its Unjust and Overbroad Application of its Merchant Clause Definition.....	3
1.	MSC’s Due Process Arguments.....	4
2.	MSC’s Practice of Applying its Merchant Clause Definition	12
3.	MSC’s Unreasonable Application of its Merchant Clause Definition.....	14
4.	The Statute of Limitations	19
5.	OE’s Civil Penalty Calculation for MSC’s 46 U.S.C. § 41102(c) Merchant Clause Violations.....	22
B.	MSC Knowingly and Willfully Violated 46 U.S.C. § 40501 by Failing to Publish NOR Tariff Rates	23
C.	MSC Knowingly and Willfully Violated 46 U.S.C. § 41102(c) by Unreasonably Billing NORs as Reefers.....	28
1.	MSC’s Practice of Billing NORs as Reefers Instead of Dry Containers.....	28
2.	MSC Knowingly and Willfully Violated 46 U.S.C. § 41102(c) Regarding its 2,629 NOR Overcharges.....	30
3.	OE Civil Penalty Calculation for MSC’s 46 U.S.C. § 41102(c) Unreasonable NOR Billing	32
D.	Proposed Civil Penalty Amounts are Lawful and Required to Deter Future Violations..	33
1.	Proposed Civil Penalty Amounts for Violating the Shipping Act were Considered by Congress.....	33
2.	Proposed Civil Penalty Amounts for Violating the Shipping Act Make Sound Enforcement and Deterrence Policy	34
3.	There Remain No Mitigating Factors to Consider.....	41
4.	The Correct Civil Penalty Amount is the 2024 Inflation Adjustments.....	41
III.	CONCLUSION.....	42
	CERTIFICATE OF SERVICE	44

Confidential information in this brief is marked with [[double brackets]].

Table of Authorities

Statutes

46 U.S.C. § 41104(a)(2)(A)	29
46 U.S.C. § 41109(e).	23
46 U.S.C. §§ 41107(a)	7, 37
CONGRESS.GOV, S.3580 – OCEAN SHIPPING REFORM ACT OF 2022: SUMMARY, (2022), https://www.congress.gov/bill/117th-congress/senate-bill/3580	45
<u>Nat’l Biodiesel Bd. V. EPA</u> , 843 F.3d 1010, 1017–18 (D.C. Cir. 2016).....	5, 16
Ocean Shipping Reform Act of 2022, 136 Stat. 1272 (2022).....	45
Ocean Shipping Reform Act of 2022, 136 Stat. 1276 (2022).....	46

Regulations

46 C.F.R. § 502.101	3
46 C.F.R. § 502.63	2
46 C.F.R. § 506.5	41
46 C.F.R. § 515.2(b)	17
46 C.F.R. § 515.2(b).	17
46 C.F.R. § 520.4(4)	24
46 C.F.R. § 545.4.....	3, 5, 28

Federal Register

<u>Inflation Adjustment of Civil Monetary Penalties</u> , 81 Fed. Reg. 42552 (Fed. Mar. Comm’n June 30, 2016)	42
<u>Interpretive Rule, Shipping Act of 1984 (2018 NPRM)</u> , 83 Fed. Reg. 45367 (Fed. Mar. Comm’n Sept. 7, 2018)	10
<u>Interpretive Rule, Shipping Act of 1984 (Final Rule Re: Practice)</u> , 83 Fed. Reg. 64478, 64479 (Fed. Mar. Comm’n Dec. 17, 2018).....	12, 28, 29
<u>Sea-Land Service Inc. Possible Violations of Sections 10(b)(1), 10(b)(4) and 19(d) of the Shipping Act of 1984; Order of Investigation and Hearing</u> , 82 Fed. Reg. 23466 (Fed. Mar. Comm’n April 29, 1998).....	38

Cases

<u>APL Co. Pte. Ltd. V. Kemira Water Solutions</u> , 890 F. Supp. 2d 360, 369) (S.D.N.Y. 2012).....	18
<u>Bradley v. United States</u> , 619 F. Supp. 3d. 141 (D.D.C. 2022).....	17
<u>Director, Office of Workers' Compensation Programs v. Greenwich Collieries</u> , 512 U.S. 267, 276 (1994).....	3
<u>F.T.C. v. Wyndham Worldwide Corp. (Wyndham)</u> , 799 F.3d 236, 250 (3rd Cir. 2015).....	5, 6, 8
<u>General Elec. Co. v. U.S. E.P.A.</u> , 53 F.3d 1324, 1329 (D.C. Cir. 1995).....	6, 8
<u>Henderson v. Charles E. Smith Mgmt., Inc.</u> , 567 A.2d 59, 62 (D.C. Cir. 1989).....	17
<u>Ingram Barge Co., LLC v. Zen-Noh Grain Corp.</u> , 3 F.4th 275, 280 (6th Cir. 2021)	18
<u>Network IP, LLC v. F.C.C.</u> , 548 F.3d 116, 123 (D.C. Cir. 2008)	9
<u>Neustar, Inc. v. Federal Communications Commission</u> , 857 F.3d 886, 895–96 (D.C. Cir. 2017). 9	
<u>Skidmore v. Swift & Co.</u> , 323 U.S. 134, 139–40 (1944))	9
<u>Suburban Air Freight, Inc. v. Transportation Sec. Admin.</u> , 716 F.3d 679, 683–84 (D.C. Cir. 2013)	5

<u>U.S. v. Approximately 64,695 Pounds of Shark Fins</u> , 520 F.3d 976, 980 (9th Cir. 2008).....	7
<u>U.S. v. Mead Corp.</u> , 533 U.S. 218, 227–28 (2001)	8, 9
<u>United States v. Chrysler Corp.</u> , 158 F.3d 1350, 1354–55 (D.C. Cir. 1998).....	8

FMC Cases

<u>Hapag-Lloyd, A.G. and Hapag-Lloyd (America) LLC—Possible Violations of 46 U.S.C. § 41102(c) (Hapag-Lloyd 21-09)</u> , 4 F.M.C.2d 53, 94 (ALJ April 22, 2022)	37, 47
<u>Hudson Shipping (Hong Kong) Ltd. d/b/a Hudson Express Lines – Possible Violations of Section 10(a)(1) of the Shipping Act of 1984</u> , Docket No. 02-06, 2003 WL 21677927 (ALJ 2003)	39, 40, 41, 47
<u>Inlet Fish Producers, Inc., Complaint v. Sea-Land Service, Inc. Respondents</u> , Docket No. 00-03, 2001 WL 1632551 (2001).....	24, 25
<u>Interpretive Rule on 46 U.S.C. 41102(c) – NOTICE OF PROPOSED RULEMAKING</u> , Docket No. 18-06, Doc. No. 1 at 19 (Sept. 6, 2018)	11, 12
<u>Interpretive Rule on Demurrage and Detention Under the Shipping Act</u> , Docket No. 19-05, Doc. No. 1 at 3 (Sept. 13, 2019)	13
<u>Kawasaki Kisen Kaisha, Ltd v. The Port Authority of New York and New Jersey (Kawasaki)</u> , Docket No. 11-12, 2014 WL 7328475, at *9 (Fed. Mar. Comm’n Nov. 20, 2014) (Commission order affirming dismissal of complaint).	5
<u>MAVL et al. v. Marine Transp. Logistics, Inc. and Dimitry Alper (MAVL)</u> , 3 F.M.C.2d 135, 154–157 (ALJ 2021)	15
<u>Meat Importers Council of America, Inc. v. Australia-Pacific Coast Rate Agreement, et al.</u> , Docket No. 91-16, 1992 WL 231277, *6 (Fed. Mar. Comm’n Feb. 25, 1992) (ALJ Initial Decision)	16
<u>Parks Int’l Shipping, Inc.</u> , 06-09, 2013 WL 9808960, at *4 (Fed. Mar. Comm’n Sept. 16, 2013)	11, 35
<u>Petition for Rulemaking Submitted by the Coalition for Fair Port Practices</u> , Docket No. P4-16, Doc. No. 1 at 1 (Dec. 7, 2016)	10, 11
<u>Revocation of Ocean Transp. Intermediary License No. 021899 - Trans World Logistics Corp. (Trans World Logistics)</u> , Docket No. 12-04, 2012 WL 11914708, at *2 (FMC July 20, 2012) 3, 32	
<u>SeaFair USA LLC v. Sterling Container Line Ltd. and Atlantic Forward Ltd.</u> , Docket No. 22-34 (Initial Decision April 15, 2024).....	33
<u>Sea-Land Service Inc. – Possible Violations of Sections 10(b)(1), 10(b)(4) and 19(d) of the Shipping Act of 1984</u> , Docket No. 98-06, 2006 WL 2007809 (Fed. Mar. Comm’n Feb. 8, 2006)	43, 44, 45
<u>Stallion Cargo, Inc.—Possible Violations of Sections 10(a)(1) and 10(b)(1) of the Shipping Act of 1984</u> , Docket No. 99-18, 2001 WL 35725562 (Fed. Mar. Comm’n Oct. 18, 2001) 40, 42, 47	
<u>TCW, Inc. v. Evergreen Shipping Agency (AM.) Corp. & Evergreen Line Joint Serv. Agreement (TCW)</u> , 5 F.M.C.2d 192, 199–200 (FMC 2022) (served Dec. 29, 2022)	33
<u>West Gulf Maritime Association v. Port of Houston Authority of the Port of Houston, TX (West Gulf)</u> , 21 F.M.C. 244 (FMC 1978)	19, 20

Legislative History

98 CONG. REC. 3009 (1983)	34
98 CONG. REC. 3179 (1983)	26
98 CONG. REC. 3180 (1983)	26
98 CONG. REC. 3180–81	27

Other

Restatement (Third) Of Agency § 1.01 (2006)	15
Restatement (Third) Of Agency § 1.03 (2006)	15

I. INTRODUCTION

The Mediterranean Shipping Company, S.A. (MSC or Respondent) is responsible for 3,445 violations against the Shipping Act of 1984 (Shipping Act or Act). There are at least 18 violations against 46 U.S.C. § 41102(c) for its application of its merchant clause, 2,629 violations against 46 U.S.C. § 41102(c) for its NOR overcharges, and 798 violations against 46 U.S.C. § 40501 for its failure to publish its NOR detention and demurrage rate for over two years. Respondent fails to understand the gravity of its many violations and instead points to the proposed civil penalties. While that total is precedential, so too is the quantity of violations.

MSC committed just under 3,500 violations against the Shipping Act and reportedly amassed about \$27 billion in profit at a vulnerable time in the shipping industry. See BRENDAN MURRAY, SHIPPING GIANT MSC VOWS TO FIGHT ‘EXCESSIVE’ 63M FMC FINE: US GOVERNMENT AGENCY SAYS COMPANY VIOLATED THE SHIPPING ACT, Bloomberg News, April 10, 2024, available at: <https://www.ttnews.com/articles/shipping-msc-63m-fmc-fine>. MSC’s own CEO expressed concerns about the accuracy of MSC’s billing in December of 2022 as they had an outstanding amount of \$40 million in demurrage, detention, and per diem charges. See Reply Br. of Resp. MSC Mediterranean Shipping Company, S.A. (Resp. Br.) at 20, 34. MSC flagrantly acts in contravention of the Shipping Act with great detriment to the shipping public. Therefore, this proceeding is not a matter of excessive penalties, but of supporting the U.S. economy and protecting the shipping public from unfair and deceptive practices. To deter future violations and to fulfill the mission of the Federal Maritime Commission, MSC should be found to have knowingly and willfully violated the Shipping Act 3,445 times and a civil penalty in an amount no less than \$63,256,853.00 should be imposed for such violations.

A. Procedural History

On August 10, 2023, the Federal Maritime Commission (FMC or Commission) initiated this proceeding by issuing an Order of Investigation and Hearing, pursuant to 46 U.S.C. §§ 41102(c), 41032(a), and 46 C.F.R. § 502.63. See Order of Investigation and Hearing (OIH or Order), Docket No. 23-08, Mediterranean Shipping Company, S.A.—Possible Violations of the Shipping Act, 46 U.S.C. §§ 41102(c), 40501 and 41104(a)(2)A (FMC August 10, 2023).

The Order named MSC as Respondent. OIH at 13. The Commission’s Bureau of Enforcement, Investigations, and Compliance (BEIC) was also named a party to this proceeding. Id. This proceeding was placed before the Commissions’ Office of Administrative Law Judges and thereafter assigned to the Honorable Alex Chintella (ALJ). Id.; Order Designating Administrative Law Judge, FMC Docket No. 23-08, Mediterranean Shipping Company, S.A.—Possible Violations of the Shipping Act, 46 U.S.C. § 41102(c), 40501 and 41104(a)(2)A (ALJ August 15, 2023); Initial Order, FMC Docket No. 23-08, Mediterranean Shipping Company, S.A.—Possible Violations of the Shipping Act, 46 U.S.C. §§ 41102(c), 40501 and 41104(a)(2)A (ALJ August 15, 2023). The Commission ordered the initial decision of the ALJ to be issued by August 12, 2024. OIH at 13.

The Scheduling Order ended discovery on February 2, 2024, and ordered Office of Enforcement’s brief, proposed findings of fact, and appendix to be filed by April 3, 2024. Scheduling Order, FMC Docket No. 23-08, Mediterranean Shipping Company, S.A.—Possible Violations of the Shipping Act, 46 U.S.C. §§ 41102(c), 40501 and 41104(a)(2)(A) (ALJ October 2, 2023). The Office of Enforcement (OE)—within BEIC—submitted its brief, findings of fact, appendix, and a motion for confidential treatment on April 3, 2024. See Opening Br. Bureau of Enforcement, Investigations, and Compliance (BEIC Br). MSC submitted its brief on May 3,

2024. See Resp. Br. OE now submits its reply brief.¹

II. ARGUMENT

A. MSC Knowingly and Willfully Violated 46 U.S.C. § 41102(c) with its Unjust and Overbroad Application of its Merchant Clause Definition

All the elements to establish a 46 U.S.C. § 41102(c) violation regarding MSC’s unjust and overbroad application of its merchant clause definition are present in this proceeding. OE met its burden of proof and established a prima facie case supported by credible and credited evidence. See Revocation of Ocean Transp. Intermediary License No. 021899 - Trans World Logistics Corp. (Trans World Logistics), Docket No. 12-04, 2012 WL 11914708, at *2 (FMC July 20, 2012) (citing Director, Office of Workers' Compensation Programs v. Greenwich Collieries, 512 U.S. 267, 276 (1994)). Respondent failed to rebut several of the elements required of 46 U.S.C. § 41102(c). See 46 C.F.R. § 545.4; see also id. Thus, Respondent effectively concedes that each unaddressed element is met and accepted as true.

OE will now address Respondent’s few contentions against this violation. First is Respondent’s solo due process argument against the 46 U.S.C. § 41102(c) merchant clause violations. Next, is Respondent’s possible arguments against the established element (b), “normal, customary, and continuous.” See 46 C.F.R. § 545.4(b); BEIC Br. at 44–46. Then OE will address Respondent’s argument against the established element (d), that the “practice or regulation is unjust or unreasonable.” See 46 C.F.R. § 545.4(d); BEIC Br. at 47–54. Following those sections,

¹ OE’s reply brief is due on Saturday, May 18, 2024. Scheduling Order at 1. The Commission regulations state that a specific date shall govern if the presiding officer “prescribes . . . an act, event, or default by reference to a specific date. 46 C.F.R. § 502.101. But the regulation continues that “[i]f the Commission’s offices are inaccessible on the last day for a filing, the time for filing is extended to the first accessible day that is not a Saturday, Sunday, or Federal holiday.” Id. This reply is a filing, not an act, event, or default. Because the deadline falls on a Saturday, and the Commission’s offices are inaccessible on this date, OE files this reply on Monday, May 20, 2024—the first accessible day that is not a Saturday or Sunday.

OE will address the statute of limitations, the knowing and willful standards regarding the merchant clause violations, and OE's civil penalty calculation for the merchant clause violations.

1. MSC's Due Process Arguments

MSC was given fair notice and due process in this adjudicatory proceeding with regards to its unjust application of the merchant clause and it is within the Commission's discretion to adjudicate the matter before it. Respondent invokes the "fair notice doctrine," and argues that this proceeding—specifically its 46 U.S.C. § 41102(c) violation of unjust applications of the merchant clause—violates its due process rights. Resp. Br. at 5–9. Respondent avers that 46 U.S.C. § 41102(c) failed to provide "notice that it prohibits the billing of demurrage charges to a notify party on a bill of lading"² and that "imposing penalties for [such] conduct would violate due process." Resp. Br. at 5–6. This argument is without merit.

The fair notice doctrine is a principle of due process that is "incorporated into administrative law." Suburban Air Freight, Inc. v. Transportation Sec. Admin., 716 F.3d 679, 683–84 (D.C. Cir. 2013). Respondent cites the Third Circuit Court of Appeals case, F.T.C. v. Wyndham Worldwide Corp. (Wyndham) for authority that the fair notice doctrine extends to civil

² It is necessary to first address Respondent's obfuscation of the arguments because adjudications are fact specific determinations and Respondent conflates the arguments and facts in this proceeding by arguing that 46 U.S.C. § 41102(c) fails to "provide notice that it prohibits the billing of demurrage charges to a notify party on a bill of lading." Resp. Br. at 5; see also Nat'l Biodiesel Bd. V. EPA, 843 F.3d 1010, 1017–18 (D.C. Cir. 2016). MSC's merchant clause violations are about its practice of applying the merchant clause to unsuspecting third parties, such as notify parties. This includes the detention charges imposed upon V. Alexander and J. Connor; along with the charges issued against Welke.² See BEIC PFF39–53, BEIC PFF92–100, BEIC PFF147, BEIC PFF157, BEIC PFF168, BEIC PFF177, BEIC PFF185. Welke was not charged detention or demurrage; it was charged for services not rendered to Welke. See BEIC PFF147, BEIC PFF157, BEIC PFF168, BEIC PFF177, BEIC PFF185. It is a longstanding principle that a charge is considered unreasonable if it is unrelated to any actual services performed or benefits conferred. See Kawasaki Kisen Kaisha, Ltd v. The Port Authority of New York and New Jersey (Kawasaki), Docket No. 11-12, 2014 WL 7328475, at *9 (Fed. Mar. Comm'n Nov. 20, 2014) (Commission order affirming dismissal of complaint).

cases.³ F.T.C. v. Wyndham Worldwide Corp. (Wyndham), 799 F.3d 236, 250 (3rd Cir. 2015); see also Resp. Br. at 5. Wyndham further provides that “[l]esser degrees of specificity” are required in civil cases and that the “standards are especially lax for civil statutes that regulate economic activities” and that a party would only lack fair notice if the “relevant standard is ‘so vague as to be no rule or standard at all.’” 799 F.3d at 250.

Respondent argues the statute does not explicitly prohibit the billing of demurrage charges to a notify party. Resp. Br. at 5. But according to the authority Respondent itself cites to, there is no need for the Commission to go into such specificity. See Wyndham, 799 F.3d at 250. This proceeding is a civil case, and the statute regulates the economic activities of the shipping industry, thus MSC would only lack fair notice if the Commission had no relevant standard regarding “just and reasonable regulations and practices” per 46 U.S.C. § 41102(c).⁴ The Commission has opined on this standard ever since the statute’s enactment and a “regulated party acting in good faith” would have been able to identify these standards. General Elec. Co. v. U.S. E.P.A., 53 F.3d 1324, 1329 (D.C. Cir. 1995).

Additionally, Wyndham lays out three different contexts that an agency may interpret a statute or regulation: First is “where an agency administers a statute without any special authority to create new rights or obligations;” second is “where an agency exercises its authority to fill gaps in a statutory scheme;” and third is “where an agency interprets the meaning of its own regulation.” 799 F.3d at 250–51. This proceeding is within the first context of statutory interpretation as the Commission is administering 46 U.S.C. § 41102(c) without any special authority to create new

³ While the Third Circuit Court of Appeals is not binding, the case before us is informative and persuasive and cited by Respondent.

⁴ It should be noted that the Commission does have an implementing regulation for 46 U.S.C. § 41102(c) that Respondent purposefully ignored. See 46 C.F.R. § 545.4.

rights or obligations. The Commission is not trying to fill in the gap of some statutory scheme nor is it interpreting its own regulation.

As iterated in the opening brief, Section 41302(a) of the Shipping Act provides that the Commission is empowered to investigate any conduct, fee, or charge that the Commission believes to be in violation of the Act. 46 U.S.C. § 41302(a); see also BEIC Br. at 40. As a common carrier, MSC is subject to and regulated by the Shipping Act. BEIC PFF 1. Thus, the Commission has jurisdiction over this proceeding and the Commission is simply using its delegated authority to administer 46 U.S.C. § 41102(c).

Furthermore, Section 41304 of the Shipping Act empowers the Commission to issue orders relating to violations of the Act after an opportunity for a hearing. 46 U.S.C. § 41304. So, it is within the Commission's enumerated powers to assess civil penalties against MSC for its violative behaviors and issue an appropriate cease-and-desist order as stated in the OIH. 46 U.S.C. §§ 41107(a), 41304; OIH at 12–13.

Respondent claims that 46 U.S.C. § 41102(c) is unclear and that “courts will often look to agency regulations to see if they clarify the statute,” but Respondent's cited authority provides that courts must first look at the plain language of the statute before the implementing regulation. Resp. Br. at 5–6; see also U.S. v. Approximately 64,695 Pounds of Shark Fins, 520 F.3d 976, 980 (9th Cir. 2008). The plain language of Section 41102(c) provides fair notice that unreasonable conduct is violative of the Shipping Act.

Respondent claims that “where neither the statute nor the regulations provide fair notice, a penalty is inappropriate.” Resp. Br. at 6. Respondent cites to two cases where an agency's interpretation of regulation did not provide fair notice to the regulated entity. Id.; see also United

States v. Chrysler Corp., 158 F.3d 1350, 1354–55 (D.C. Cir. 1998); General Electric Co. v. U.S. E.P.A., 53 F.3d at 1328–29. But again, this is a matter of agency statutory interpretation where the statute itself provides fair notice through its plain language that unreasonable conduct is violative of the Shipping Act. And this type of agency interpretation has a lower standard of fair notice than the second or third as “the standard of notice afforded to litigants about the meaning of the statute is not dissimilar to the standard of notice for civil statutes.” Wyndham, 799 F.3d at 250, 251–52 (“A higher standard of fair notice applies in the second and third contexts than in the typical civil statutory interpretation . . .”).

Respondent had fair notice about the Commission’s standards of just and reasonable per 46 U.S.C. § 41102(c). Respondent asserts its fair notice argument on the false premise that the Commission must explicitly prohibit every single potentially violative action a regulated entity could commit before adjudicating the practice or regulation in contravention of the Shipping Act. Such an interpretation would cause absurd results and effectively undermine this agency’s ability to fulfill its mission to ensure a competitive and reliable international ocean transportation supply system that supports the U.S. economy and protects the public from unfair and deceptive practices. The Commission gave fair notice to Respondent in that the Commission has long standing standards for “reasonableness.”

Moreover, it is within the Commission’s discretion to adjudicate MSC’s actions in this proceeding as agencies are authorized to make policy choices through adjudication and their own statutory interpretation. U.S. v. Mead Corp., 533 U.S. 218, 227–28 (2001) (“[A]gencies charged with applying a statute necessarily make all sorts of interpretive choices . . . and [w]e have long recognized that considerable weight should be accorded to an executive department’s construction of a statutory scheme it is entrusted to administer) (citation and quotation omitted); Network IP,

LLC v. F.C.C., 548 F.3d 116, 123 (D.C. Cir. 2008); see also Neustar, Inc. v. Federal Communications Commission, 857 F.3d 886, 895–96 (D.C. Cir. 2017) (restating that an agency may interpret a statute and apply that new interpretation in a proceeding before as part of its adjudicatory function). Agency deference to statutory interpretations is measured by the “degree of the agency’s care, its consistency, formality, and relative expertness, and to the persuasiveness of the agency’s position.” Mead. Corp., 533 U.S. at 228 (citing Skidmore v. Swift & Co., 323 U.S. 134, 139–40 (1944)) (footnotes omitted). OE has carefully applied the law to the facts that led to this proceeding and MSC knowingly and willfully violated the Shipping Act by applying its merchant clause to V. Alexander, J. Connor, and Welke. See BEIC Br. at 41–54. Therefore, the Commission is well within its delegated authority to find that MSC violated the 46 U.S.C. § 41102(c).

It is also worth pointing out that, since at least 2016, the Commission has been continually taking a broader look, either due to industry initiatives or via its own actions, at the types of conduct that can be deemed unreasonable pursuant to Section 41102(c) of the Shipping Act. This includes review of reasonable practices of ocean common carriers and marine terminal operators, as well as interpretation of the just and reasonable standard under Section 41102(c). Between 2016 and the start of this proceeding in 2023, MSC has long had adequate notice that various carrier practices were the focus of Commission attention in the context of reasonableness under section 41102(c).

For example, on December 7, 2016, the Coalition for Fair Port Practices submitted a petition requesting that the Commission initiate a rulemaking process,

for the purpose of adopting a rule that will interpret the Shipping Act of 1984, as amended, and specifically 46 U.S.C. § 41102(c), to clarify what constitutes “just and reasonable rules and practices” with respect to the assessment of demurrage, detention, and per diem charges by ocean common carriers and marine terminal operators when ports are congested or otherwise inaccessible.

Petition for Rulemaking Submitted by the Coalition for Fair Port Practices, Docket No. P4-16, Doc. No. 1 at 1 (Dec. 7, 2016). In the context of this request, the petitioners averred, *inter alia*, that:

This guidance will promote the use of reasonable practices, reduce disputes concerning demurrage and detention, and ensure that demurrage and detention are not used inappropriately to generate revenues for cash-strapped ocean common carriers or for marine terminal operators **that typically lack a contractual relationship with the parties paying the charges.**”

Id. at 5 (emphasis added). MSC, as a member of the World Shipping Council (WSC)⁵, participated in WSC’s two sets of comments filed on behalf of its members in opposition to the petition on February 28, 2017, and April 6, 2017. Petition for Rulemaking Submitted by the Coalition for Fair Port Practices, Docket No. P4-16, Doc. No. 87 (Feb. 28, 2017), Doc. No. 114 (April 6, 2017). A few months later, on January 18, 2018, an Executive Vice President of Mediterranean Shipping Company USA, MSC’s U.S. agent, testified before the Commission in a hearing regarding Petition No. P4-16. Petition for Rulemaking Submitted by the Coalition for Fair Port Practices, Docket No. P4-16, Doc. No. 149 (Jan. 18, 2018); see also Petition for Rulemaking Submitted by the Coalition for Fair Port Practices, Docket No. P4-16, Doc. No. 159 (Jan. 31, 2018). Finally, on February 1, 2018, MSC, through its U.S. agent, filed its Reply to the Questions for the Record relating to Petition No. P4-16. Petition for Rulemaking Submitted by the Coalition for Fair Port Practices, Docket No. P4-16, Doc. No. 170 (Feb. 1, 2018).

Similarly, on September 6, 2018, the Commission initiated Docket No. 18-06 by issuing a Notice of Proposed Rulemaking wherein it stated its belief “that the interpretation and application

⁵ MSC was and continues to be a member of WSC including holding a seat on the WSC Board. See MSC COO JOINS WSC BOARD, <https://www.msc.com/en/newsroom/press-releases/2016/july/msc-coo-joins-wsc-board> (last visited May 20, 2024); WORLD SHIPPING COUNCIL: WHO WE ARE, <https://www.worldshipping.org/who-we-are-1> (last visited May 20, 2024); WORLD SHIPPING COUNCIL: MEET OUR BOARD, <https://www.worldshipping.org/meet-the-board> (last visited May 20, 2024).

of § 41102(c) should be properly aligned with the broader common carriage foundation and purposes of the Act.” Interpretive Rule on 46 U.S.C. 41102(c) – NOTICE OF PROPOSED RULEMAKING, Docket No. 18-06, Doc. No. 1 at 19 (Sept. 6, 2018); Interpretive Rule, Shipping Act of 1984 (2018 NPRM), 83 Fed. Reg. 45367 (Fed. Mar. Comm’n Sept. 7, 2018). The Commission also provided that:

The interpretive rule is consistent with the purposes of the Shipping Act and focuses Commission activities on regulated entities who abuse the maritime shipping public by imposing unjust and unreasonable business methods, and who do so on a normal, customary, and continuous basis, and thereby negatively impact maritime transportation competition or inflict detrimental effect upon the commerce of the United States.”

2018 NPRM, 83 Fed. Reg. at 45372. This rulemaking ultimately led to the implementation of 46 C.F.R. § 545.4 (Interpretation of Shipping Act of 1984 – Unjust and unreasonable practices). On October 10, 2018, WSC filed responsive comments stating, *inter alia*, that:

“[b]ecause WSC’s members may find themselves on either side of a claim involving section 41102(c), their interest in this proceeding is not in favoring claimants or respondents. Instead, the interest of WSC’s members is in having the Federal Maritime Commission apply the law in a fair, predictable manner that is consistent with the statute from which the Commission derives its authority. The interpretive rule proposed by the Commission would fulfill that objective, and the Council supports adoption of the proposed interpretation.”

Interpretive Rule on 46 U.S.C. 41102(c) – NOTICE OF PROPOSED RULEMAKING, Docket No. 18-06, Doc. No. 3 at 1 (Oct. 10, 2018)

Approximately a year later, on September 13, 2019, the Commission initiated Docket No. 19-05 by issuing a Notice of Proposed Rulemaking that stemmed largely from Fact Finding No. 28,

which itself derived from repeated criticisms of ocean carrier and marine terminal operator demurrage and detention practices. The investigation was nationwide and industry-wide in scope and involved thousands of pages of written discovery and interviews with numerous representatives of cargo interests (shippers and consignees), truckers, ocean transportation intermediaries, ocean carriers, marine

terminal operators, and ports.

Interpretive Rule on Demurrage and Detention Under the Shipping Act, Docket No. 19-05, Doc. No. 1 at 3 (Sept. 13, 2019). WSC filed responsive comments on October 31, 2019 and March 19, 2020 opposing the proposed interpretive rule citing such reasons as adverse impact, significant regulatory costs, and government intrusion into private party negotiations. See Interpretive Rule on Demurrage and Detention Under the Shipping Act, Docket No. 19-05, Doc. No. 51 (Oct. 31, 2019); Interpretive Rule on Demurrage and Detention Under the Shipping Act, Docket No. 19-05, Doc. No. 107 (Mar. 19, 2020). This rulemaking resulted in the implementation of 46 C.F.R. § 545.5 (Interpretation of the Shipping Act of 1984 – Unjust and unreasonable practices with respect to demurrage and detention).

Finally, there are several instances where private party complaint cases have been filed against MSC between 2020 and 2021 involving allegations of violations of Section 41102(c). See Intermodal Motor Carriers Conference, American Trucking Associations, Inc. v. Ocean Carrier Equipment Management Association Inc., et al., Docket No. 20-14, Doc. No. 1 (Aug. 17, 2020) (involving allegations of violations of Section 41102(c) due to alleged denial to truckers of right to select chassis providers for merchant haulage moves); MCS Industries, Inc. v. COSCO Shipping Lines Co., Ltd. and MSC Mediterranean Shipping Company S.A., Docket No. 21-05, Doc. No. 1 (July 28, 2021) (involving allegations of violations of Section 41102(c) due to carrier behavior of forcing customers into the spot rate market); Mohawk Global Logistics Corp. d/b/a Mohawk Global Logistics v. MSC Mediterranean Shipping Company (USA) Inc. as agent for Mediterranean Shipping Company, S.A., Geneva, Docket No. 1971(F), Doc. No. 1 (July 29, 2021) (involving allegations of violations of Section 41102(c) where a customs house broker (CHB) incurred charges on behalf of a consignee).

During this approximate time frame, on December 30, 2021, the Commission initiated Docket No. 21-17 against Ocean Network Express Pte. Ltd. (ONE) based on allegations of violations of Section 41102(c) stemming from ONE's use of its merchant clause in its bills of lading. See Ocean Network Express Pte. Ltd. and Ocean Network Express (North America) Inc. – Possible Violations of 46 U.S.C. § 41102(c), Docket No. 21-17, Doc. 1 (Dec. 30, 2021). All of these aforementioned regulatory and legal actions should have raised a level of awareness for the maritime industry, including MSC, that the Commission was alarmed and concerned about unreasonable carrier charges and practices occurring at the very least between 2016 and 2021. They also serve to demonstrate that MSC cannot credibly claim complete ignorance through this tumultuous period while presumably awaiting dispositive advice as to merchant clause issues. Such an approach is arguably insulting to the shippers, truckers, customs house brokers, and the rest of the shipping industry who was victimized by MSC's avaricious practices.

2. MSC's Practice of Applying its Merchant Clause Definition

OE established that MSC normally, customarily, and continuously wielded its merchant clause to hold third parties liable for invoices and fees. See BEIC Br. at 44–46. Respondent never addressed and therefore concedes the cited legal standards for a normal, customary, and continuous standard per 46 U.S.C. § 41102(c). See BEIC Br. 44–45; see also Interpretive Rule, Shipping Act of 1984 (Final Rule Re: Practice), 83 Fed. Reg. 64478, 64479 (Fed. Mar. Comm'n Dec. 17, 2018); TCW, Inc. v. Evergreen Shipping Agency (AM.) Corp. & Evergreen Line Joint Serv. Agreement (TCW), 5 F.M.C.2d 192, 199–200 (FMC 2022) (served Dec. 29, 2022); MAVL et al. v. Marine Transp. Logistics, Inc. and Dimitry Alper (MAVL), 3 F.M.C.2d 135, 154–157 (ALJ 2021) (initial decision on remand) (served Sept. 29, 2021), aff'd, 5 F.M.C.2d 109 (FMC 2022) (served June 10, 2022). Yet MSC claims its merchant clause and its application of the merchant clause do not rise

to the standard of “normal, customary, and continuous.” Resp. Br. at 2. MSC fails to substantiate this claim.

MSC purposefully misinterprets OE’s arguments to seemingly rebut OE’s prima facie case. Respondent argues that it was OE’s “allegation that it was MSC’s policy to always bill the notify party.” Resp. Br. at 14. OE does not argue this. BEIC Br. at 44–46. OE merely established that MSC’s merchant clause is memorialized throughout MSC’s bills of lading and tariff. Id. at 45. And that such memorialization proves that the merchant clause itself is MSC’s normal business practice, occurring on a normal, customary, and continuous basis. Id. OE further established that MSC’s application of the merchant clause is normal, customary, and continuous.

Respondent fails to rebut this point. MSC argues that corporate policy is enough to disprove a normal business practice. Resp. Br. at 14. But a corporate policy published in May of 2020 cannot disprove the normal, customary, and continuous basis that notify parties were invoiced in 2018 through 2021. BEIC PFF29. And even if one were to accept Respondent’s unsound argument—a corporate policy that is not being followed by “lower level personnel in a local MSC office” is still a failure to enforce and MSC is still in violation of Section 41102(c). Resp. Br. at 14; see also 46 U.S.C. § 41102(c) (“A common carrier . . . may not fail to establish, observe, and enforce . . .”).

Furthermore, the argument that MSC’s purported policy only bills notify parties in “two narrow circumstances,” is false.⁶ In each of the 18 instances, Respondent billed the notify party

⁶ Also notable, this “policy” became public after V. Alexander and some of Welke’s invoices were received. MSC0000033. It is disingenuous to purport that this policy was strictly followed and therefore evidences that MSC did not normally, customarily, and continuously bill third parties when it did not exist for some of the invoices. Instead, the presiding officer should take into account that it is flagrantly written that MSC resorts to billing the notify party.

contrary to its purported policy. In V. Alexander's case, the consignee was [REDACTED] [REDACTED] thus the consignee should have been billed instead of V. Alexander. See OE Ex. 1–7. The same is true for J. Connor and Welke—both of their consignees were [REDACTED] See OE Ex. 11–15, OE Ex. 18–22.

3. MSC's Unreasonable Application of its Merchant Clause Definition

OE has established that MSC's practice of charging notify parties through its merchant clause was unjust and unreasonable. BEIC Br. at 47–54. Respondent never addressed this and therefore concedes the cited legal standards for reasonableness per 46 U.S.C. § 41102(c). See BEIC Br. at 47. In an attempt to rebut the established element, MSC makes two⁷ logical assumptions to rationalize that the presumptive billing of a notify party is reasonable.

First, Respondent assumes that a notify party is an agent of the consignee. In this case, V. Alexander, J. Connor, and Welke were not the agents of the consignee. Respondent fails to establish this. Resp. Br. at 13–16. Second, Respondent assumes that the three notify parties in this case had a beneficial cargo interest. Resp. Br. at 11–12. But Respondent misinterprets the plain language of both the cited regulation and the cited terms and conditions. Id. OE addresses both of these points below.

⁷ Respondent also assumes that Meat Importers Council of America, Inc. v. Australia-Pacific Coast Rate Agreement, et al., supports its contention that MSC may bill any person. Meat Importers Council of America, Inc. v. Australia-Pacific Coast Rate Agreement, et al., Docket No. 91-16, 1992 WL 231277, *6 (Fed. Mar. Comm'n Feb. 25, 1992) (ALJ Initial Decision). MSC fails to find a relevant case to support this, because Meat is a case about freight charges being paid between shippers, forwarders, and consignees. These are all parties that usually have some means of control or power in the negotiation of freight. A notify party is not. The holding in Meat is so specific to the facts of that proceeding that to apply its conclusions to this case would be contrary to law. See Resp. Br. at 11 (“Based on this precedent, the imposition of storage charges on a notify party is reasonable”). On top of that, the law at issue in Meat is not the same statutes at issue in this proceeding. Adjudications are fact specific proceedings and Respondent fails to assess specific facts of this case with the law that applies. See Nat'l Biodiesel Bd., 843 F.3d at 1017–18.

a. V. Alexander, J. Connor, and Welke Were Not Agents of the Consignee

Respondent fails to prove that there was an agency relationship between the consignees, V. Alexander, J. Connor, and Welke. An agency relationship is a factual question that the asserting party must prove. Henderson v. Charles E. Smith Mgmt., Inc., 567 A.2d 59, 62 (D.C. Cir. 1989); see also Bradley v. United States, 619 F. Supp. 3d. 141 (D.D.C. 2022). An agency relationship is the “fiduciary relationship that arises when one person (a ‘principal’) manifests assent to another person (an ‘agent’) that the agent shall act on the principal's behalf and subject to the principal's control, and the agent manifests assent or otherwise consents so to act.” Restatement (Third) Of Agency § 1.01 (2006). A party “manifests assent or intention through written or spoken words or other conduct.” Restatement (Third) Of Agency § 1.03 (2006). Here, V. Alexander and J. Connor did not manifest their assent—written or otherwise—to be billed any detention invoices for the consignees. BEIC PFF 37, BEIC PFF56–87, BEIC PFF89–91, BEIC PFF 104. Respondent does not proffer any evidence to establish that V. Alexander and J. Connor⁸ did so. Likewise, Welke did not manifest its assent to be billed for services rendered to the consignee and Respondent fails to show that they did. BEIC PFF106–185.

And even if one were to argue that V. Alexander, J. Connor, and Welke were agents for the consignees due to their role as the notify party—V. Alexander, J. Connor, and Welke were limited to their role as a notify party. They were not general agents for the shipper.⁹ Their

⁸ Paul F. Connor submits his Verified Statement to further assert that “J. Connor did not have any beneficial interest in the cargo,” “J. Connor never acted a general agent for [the consignee],” and that J. Connor was never authorized by the shipper or consignee “to accept billing from MSC.” See Appendix A, Verified Statement of Paul F. Connor at 2.

⁹ The test for whether an agency relationship exists is often twofold and courts will generally first look to see if there is evidence of the parties’ “consent to establish a principal-agent relationship,” and then “look for evidence that the activities of the agent are subject to the principal’s control.” Jackson v. Loews Wash. Cinemas, Inc., 944 A.2d 1088, 1097 (D.C. 2008). Respondent to make a showing for either test, and there is no agency relationship between V. Alexander, J. Connor, or Welke and their consignees.

authority as an agent was limited to their role as a notify party. See generally Ingram Barge Co., LLC v. Zen-Noh Grain Corp., 3 F.4th 275, 280 (6th Cir. 2021) (a persuasive maritime case dealing with notify party obligations in a bill of lading, “[a] basic principle of agency law is that an agency relationship exists only if the agent is acting on behalf of and subject to the control of the principal.” (citing APL Co. Pte. Ltd. V. Kemira Water Solutions, 890 F. Supp. 2d 360, 369) (S.D.N.Y. 2012) (quotations omitted)).

So even if V. Alexander, J. Connor, and Welke are deemed to be an “agent” of their consignees—Respondent has not shown that they were acting in their role as an “agent” of their principal for it to be reasonable for MSC to bill them. And there is no agency law or precedent to support the contention that a third party may *create* or make a financial obligation for an agent on behalf of their principal. Such a concept is contrary to law and unreasonable. V. Alexander, J. Connor, and Welke were unreasonably billed.

Respondent argues that “it is well-established under FMC precedent that holding an agent liable for the obligations of its principal is a reasonable practice that constitutes an efficient means of collecting tariff fees due.” That statement is without merit as the cases cited by Respondent hold wildly different facts than the present proceeding. Respondent cherry picked seemingly relevant language to misrepresent the Commission’s findings. Respondent first cites to West Gulf Maritime Association v. Port of Houston Authority of the Port of Houston, TX (West Gulf), 21 F.M.C. 244 (FMC 1978) to imply that the Commission found that billing vessel agents was reasonable. Resp. Br. at 14. This may have been the case in West Gulf, but only because the Port of Houston had been extending credit to the agent on behalf of the principals and there was an established prior course of conduct and normal business practice. West Gulf at 250. There was an “agreement outside the scope of the agent’s agreement with its principal,” to which the

Commission held was a reasonable billing practice. Id. This is not the case here.

OE maintains that there is no agency relationship between V. Alexander, J. Connor, Welke and their respective consignees. But even if there were to be one on account of their role as a notify party to the consignee—none of the notify parties had an established agreement to be billed for the consignee. The facts of this case are distinguishable from West Gulf in that the vessel agents expressly agreed to accept bills for their principals. V. Alexander, J. Connor, and Welke expressly rejected such invoices. See BEIC PFF35–185. All other cases cited by Respondent rely on the reasoning in West Gulf and are therefore irrelevant authorities to the present case.

b. V. Alexander, J. Connor, and Welke did not have a Beneficial Cargo Interest

Respondent misinterprets the plain language of both the cited regulation and the cited terms and conditions; V. Alexander, J. Connor, and Welke did not have a beneficial cargo interest. The definition of “beneficial interest” includes:

a lien or interest in or right to use, enjoy, profit, benefit, or receive any advantage, either proprietary or financial, from the whole or any part of a shipment of cargo where such interest arises from the financing of the shipment or by operation of law, or by agreement, express or implied.

46 C.F.R. § 515.2(b) (emphasis added). Respondent cites language that purportedly establishes V. Alexander, J. Connor, and Welke have a lien—which Respondent argues creates a beneficial interest per 46 C.F.R. § 515.2(b). Respondent is mistaken.

The Commission’s definition of “beneficial interest” is limited by the second clause of the sentence, “where such interest arises from the financing of the shipment or by operation of law, or by agreement, express or implied.” 46 C.F.R. § 515.2(b) (emphasis added). The definition is further limited by the second sentence, that beneficial interest does not “include any obligation in favor of an ocean transportation intermediary arising solely by reason of the advance of out-of-

pocket expenses incurred in dispatching a shipment.” 46 C.F.R. § 515.2(b). Per this language, a beneficial interest is not created solely on the fact that there is lien. Such a lien must arise from the financing of the shipment, by operation of law, or by agreement express or implied.

Respondent cites no evidence that establishes that V. Alexander, J. Connor, nor Welke had a lien that arose from these circumstances. In fact, every single one of the terms and conditions that Respondent cites to includes restrictive language that the Company’s lien shall only occur for money owed to the company—not for money financing the shipment. Resp. Br. at 11–12. Thus, V. Alexander, J. Connor, and Welke had no beneficial cargo interest in any of the shipments at issue and each one of them were unreasonably billed.

c. Respondent Fails to Address Key Arguments Regarding its Unreasonable Practice

Beyond the assumption that notify parties are agents of a consignee and the other mistaken conception that notify parties have a beneficial cargo interest, Respondent fails to address the unreasonableness of its practice. OE refrains from re-addressing the entirety of its argument but will address key points Respondent failed to discuss or refute.

Firstly, V. Alexander, J. Connor, nor Welke consented to be bound by MSC’s bill of lading. BEIC Br. at 48–50. Respondent argues that MSC does not rely solely on its bill of lading to apply its merchant clause to third parties as the merchant clause is also enumerated in its tariff. This point is irrelevant to V. Alexander, J. Connor, and Welke as they were notify parties and performed duties unrelated to MSC’s tariff.

Second, V. Alexander and J. Connor were unable to promote freight fluidity. Third, that it was unreasonable to: threaten shut out to notify parties for the unpaid bills of another party, hoist and/or threaten to hoist third-party collection agencies on notify parties for unpaid bills of another

party, and waste notify parties' administrative and financial resources disputing, verifying or yielding to MSC's invoices. For all these reasons, the presiding officer should find that MSC unreasonably applied its merchant clause in contravention of Section 41102(c) of the Shipping Act.

4. The Statute of Limitations

The statute of limitations does not bar the ALJ from considering and imposing civil penalties on any of the eighteen merchant clause violations in this proceeding. Respondent argues that five of the eighteen merchant clause violations should be barred from any civil penalty impositions. Resp. Br. at 17 (listing three invoices issued on February 12, 2018, one on April 11, 2018, and one on May 2, 2018). But Respondent conflates the merchant clause violations with the NOR violations and oversimplifies that the act that causes "injury to the business of the billed parties was the issuance of the invoice." Id. MSC's merchant clause violations are not bound solely by the date of their invoices to the notify party.

As stated above and in the opening brief, "MSC not only memorialized and sanctioned its unreasonable practice in boilerplate language, but also applied its unreasonable practice in its written billing procedures." BEIC Br. 45. Simply put, MSC's violative practice is its merchant clause and the application of its merchant clause. The billed invoices are part of the nucleus of facts that led to the March 2021 re-invoicing and continuation of the violative behavior. See BEIC Br. 43 ("MSC's violations . . . are not defined solely by the date of its invoices to notify parties . . . the dates of the invoices are merely a symptom of MSC's continuing violations¹⁰ stemming from

¹⁰ OE uses the term "continuing violation," to refer to the persistence with which MSC applied its merchant clause to V. Alexander after its 2018 invoices. BEIC PFF55–87. This is not a reference to 46 U.S.C. § 41107(a), although there are grounds to count each day that MSC applied and thought to have applied its unreasonable detention charges to V. Alexander as a continuing and separate 46 U.S.C. § 41102(c) violation.

its bills of lading and billing practices.”). A plain reading of the statute does not bar OE’s interpretation as the statute states: “A proceeding to assess a civil penalty . . . must be commenced within 5 years after the date of the violation.” 46 U.S.C. § 41109(e). MSC’s merchant clause violation is not so reductive that the invoice itself is the violation. The violation occurred when MSC normally, customarily, and continuously wielded its merchant clause to hold V. Alexander unreasonably liable for charges they did not consent to. It is too narrow of an interpretation to find that MSC only violated the Shipping Act when it issued its invoices in 2018—especially when MSC tried to collect on those very invoices in 2021.

Respondent skews the facts of this proceeding and OE’s position by alleging that OE’s approach “would mean that any person who received and refused to pay an invoice could ‘extend’ the statute of limitations for challenging that invoice by corresponding with the billing party.” Resp. Br. 18. V. Alexander did not “extend” the statute of limitations by challenging an invoice with MSC. MSC waylaid V. Alexander in 2021 and demanded payment for an unjust invoice from 2018. BEIC PFF 55. MSC continued its violative behavior and practice—applying its merchant clause to V. Alexander—within the same nucleus of facts that led to the 2018 invoices. And V. Alexander effectively discovered that MSC was still holding them liable for the misapplied invoices in 2021.

Alternative to the same nucleus of facts argument, V. Alexander’s discovery that MSC was still holding them liable for the misapplied invoices in 2021 invokes the discovery rule. The discovery rule was adopted by the Commission in Inlet Fish Producers, Inc., Complaint v. Sea-Land Service, Inc. Respondents, Docket No. 00-03, 2001 WL 1632551 (2001). This rule provides that “a cause of action accrues when a party knew or should have known that it had a claim.” Inlet at *12. Inlet is similar to the facts of this case. In Inlet, the Complainant Inlet Fish Producers

(Inlet Fish), alleged that their claim did not begin to accrue when Respondent Maersk Sealand (MSL) invoiced them for their shipments, but when they discovered they had been harmed. Inlet at *2–3. In response, MSL argued that Inlet Fish’s claims were time-barred and that “Inlet Fish did have the relevant information [to file timely].” MSL further “averred that Inlet Fish failed to exercise due diligence by neglecting to examine its own records, and that the existence of a cause of action was not unknowable.” Inlet at 4. The ALJ, who was later affirmed by the Commission, found that “Inlet Fish had ‘some suspicion’” of the violation, but “not enough information to proceed.” Inlet at 4. The ALJ further found that “Inlet Fish possesses thousands of pages of shipping documents and that finding the specific information leading to [the] complaint would be like finding a needle in a haystack.”

Likewise, V. Alexander was billed in 2018, but did not know MSC would hold them accountable for services rendered to a different company until 2021. BEIC PFF55. As the violative practice is MSC’s application of the merchant clause, not its invoicing, V. Alexander did not know MSC would continue to apply its Merchant Clause until 2021. Like Inlet Fish, V. Alexander may have known MSC misapplied its invoices to V. Alexander through MSC’s merchant clause (via the invoices in 2018), but V. Alexander did not know it was to be held liable for those invoices well into 2021—when MSC tried to collect. The Commission affirmed the ALJ’s holding in Inlet and found that a flexible approach to the accrual of a cause of action is best. Inlet at *10. The Commission opined that to bar Inlet Fish’s proceeding “would appear to be overly restrictive” because “[i]t would not be appropriate for Inlet Fish to lose its right to seek Commission adjudication of its dispute when it had no conclusive information about such a dispute for several years after the shipments took place.” Id. This proceeding is similar in that barring five of these eighteen violations would be overly restrictive as MSC continued to harm V.

Alexander with its unlawful application of its merchant clause well after it initially issued its invoices in 2018.

Lastly, in the alternative, if the statute of limitations bars the consideration of the five incidents where MSC applied its merchant clause to V. Alexander (three on February 12, 2018, one on April 11, 2018, and one on May 2, 2018) and MSC's violative practice is the application of MSC's merchant clause, then each attempt by MSC to collect on those invoices by applying its merchant clause to third-parties is a violation. The cumulative total of these violations would be 107, while still excluding the five incidents prior to August 10, 2018.¹¹

5. OE's Civil Penalty Calculation for MSC's 46 U.S.C. § 41102(c) Merchant Clause Violations

Respondent fails to address the knowing and willful legal standard as applied to the Section 41102(c) merchant clause violations and therefore concedes that it committed these acts knowingly and willfully. OE proposes the maximum penalty for a knowing and willful violation for each of the eighteen (18) Section 41102(c) violations because of the flagrant nature and obstinate behavior of MSC regarding its bills of lading and its invoicing of third parties. MSC itself acknowledges “the number of demurrage/detention issues caused by the supply chain problems” during the pandemic. Resp. Br. at 28 n.21. Yet Respondent attempts to justify charging nonconsenting third

¹¹ OE calculates this by counting: 3 violations for the invoices issued prior to August 10, 2018 (BEIC PFF50, BEIC PFF52, BEIC PFF54); 8 violations on March 10, 2021 (BEIC PFF55); 8 violations on March 12, 2021 (BEIC PFF58); 8 violations on April 6, 2021 (BEIC PFF61); 8 violations on May 19, 2021 (BEIC PFF65); 8 violations on July 15, 2021 (BEIC PFF73); 32 violations on July 19, 2021—with four emails reiterating that V. Alexander must pay for the invoices (BEIC PFF75, 78, 80, 82); 5 violations for J. Connor invoices (BEIC PFF92–101); 5 violations on April 20, 2021 (BEIC PFF 102); 1 violation on March 11, 2020 (BEIC PFF107–111); 1 violation on April 8, 2020 (BEIC PFF117); 1 violation on April 22, 2020 (BEIC PFF118); 2 violations on May 6, 2020 (BEIC PFF119); 5 violations on June 18, 2020 (BEIC PFF120); 1 violation on March 26, 2020 (BEIC PFF142); 1 violation on March 27, 2020 (BEIC PFF146); 1 violation for an invoice to Welke (BEIC PFF147); 1 violation for an invoice to Welke (BEIC PFF157); 1 violation on April 28, 2020 (BEIC PFF164); 1 violation on April 28, 2020 (BEIC PFF167); 1 violation for an invoice to Welke (BEIC PFF168); 1 violation on May 14, 2020 (BEIC PFF172); 1 violation on May 27, 2020 (BEIC PFF173); 1 violation on June 22, 2020 (BEIC PFF175); 1 violation for an invoice to Welke (BEIC PFF177); and 1 violation for an invoice to Welke (BEIC PFF185).

parties for detention during a vulnerable time in the maritime industry.

The nature, circumstances, extent, and gravity of this violation justify the maximum penalty for a knowing and willful violation. Respondent argues that the nature of this conduct was “common to many carriers in the industry,” but the commonality of the conduct does not justify its unreasonableness.¹² Resp. Br. at 27. As to extent, Respondent contradicts itself by first attempting to minimize the extent and then justify its violation by claiming it was “common to many carriers in the industry.” Resp. Br. at 26–27. To be clear, the extent of Respondent’s violation is widespread as MSC’s bill of lading remains unchanged from 2018 to present day. BEIC PFF20. Respondent also argues that the gravity of its conduct is low, but Respondent underestimates the time, energy, and resources that have been spent disputing MSC’s billing practices.

OE disagrees that there is no culpability as to the merchant clause issue. MSC is fully culpable for its contravening acts and urges the presiding officer to look towards MSC’s unyielding argument that its application of the merchant clause was lawful despite attempts by its customers and the Commission to correct them. Respondent’s consistent resistance to act accordingly within reasonable bounds of the Shipping Act of 1984 and its obstinate refusal to comply justify the maximum knowing and willful civil penalty for each of these 18 instances.

B. MSC Knowingly and Willfully Violated 46 U.S.C. § 40501 by Failing to Publish NOR Tariff Rates

OE established that MSC violated 46 U.S.C. § 40501 by failing to publish a separate NOR

¹² As to the assumption that this behavior is common to many carriers in the industry, MSC has not brought forth any evidence to support this claim. While it may be true, there are no other clauses, notify parties, bills of lading, or invoices that MSC points to from other vessel operators or notify parties to support its statement.

tariff rates. BEIC Br. at 57–58. This violation is a separate and distinct charge that Respondent failed to address. Respondent “concedes that it did not have a separate demurrage charge specifically applicable to NORs in its tariff during 2021” and that it did not have separate charges for NORs until March 9, 2023. See Resp. Br. at 18; BEIC PFF285, BEIC PFF286. Thus, Respondent concedes MSC violated 46 U.S.C. § 40501 by not publishing a NOR tariff rate.

Respondent argues that “[n]o violation should be found with respect to Section 40501 because there was a demurrage charge applicable to NORs published in the MSC tariff (the dry container demurrage charge).” Resp. Br. at 38, 22 (“If MSC had failed to publish a charge applicable to NORs”) (emphasis added). But this is a purposeful misreading of the statute and the Commission’s regulations. See 46 U.S.C. § 40501(b)(4); 46 C.F.R. § 520.4(4) (parroting the language of 46 U.S.C. § 40501(b)(4)¹³). MSC’s Section 40501 violation is not a question of whether there was a demurrage charge applicable to NORs. That is not a requirement of the statute.

The statute requires common carriers to publish any rule that “in any way change, affect, or determine any part or the total of the rates or charges.” 46 U.S.C. § 40501(a)(1), (b)(4). Whether a NOR will be charged as a dry container or as a reefer changes, affects, and determines the total of the rate or charges. Therefore, MSC’s failure to publish a separate NOR charge is a per se violation of Section 40501.

Respondent’s argument that there was a demurrage charge “applicable” to NORs published in MSC’s tariff does not refute the fact that the NOR charge was not stated separately—as required by the statute—but, rather, was ambiguous and unclear. Respondent effectively concedes that MSC’s failure to publish created ambiguity. See Resp. Br. at 21 (“the absence of a specific NOR

¹³ 46 C.F.R. § 502.4(4) contains the words “or regulations” after the word “rule” and before the word “that.”

charge in MSC’s tariff at most rendered the tariff ambiguous”).

And MSC’s contention that the billing of NORs as dry containers was consistent with applicable law ignores the fact that the Shipping Act of 1984 requires published tariffs to “state separately each terminal or other charge . . . and any rules that in any way change, affect, or determine any part or the total of the rates or charges.” 46 U.S.C. § 40501(b)(4). Respondent’s statement that “the law requires the ambiguity to be resolved in favor of the shipper,” is irrelevant to MSC’s failure to meet the requirements of 46 U.S.C. § 40501.¹⁴

Respondent also incorrectly asserts that a violation of Section 40501 relies on the same conduct as Respondent’s Section 41102(c) NOR overcharge conduct. Resp. Br. at 32. This is not the case. MSC’s Section 40501 violations are independent of its NOR overcharge conduct. A violation of Section 40501 has nothing to do with *what* MSC charged its customers in the absence of a separate NOR charge, but the fact that there was an absence¹⁵. The relevant conduct is whether MSC published a separate NOR charge in its tariff. It did not. See BEIC PFF 285, BEIC PFF 286. Thus, MSC violated 46 U.S.C. § 40501 by failing to publish separate NOR tariff rates.

Respondent fails to address OE’s arguments regarding MSC knowingly and willfully failing to publish its separate NOR charges. MSC effectively concedes this point as Respondent failed to contradict that MSC knew its NOR detention, demurrage, and per diem charges “change, affect, or determine” the total of MSC’s rates or charges to its customers and yet MSC did not publish its NOR rates in its U.S. tariff until March 9, 2023.

¹⁴ Respondent cites to two cases prior to the Shipping Act of 1984 for this authority. Resp. Br. at 21. While the precedence of these cases need not be addressed, the cases should not be given any weight as they do not address the present statute or violation.

¹⁵ However, OE posits that MSC’s NOR overcharges are the consequence of an absence of a separate NOR charge in MSC’s tariff.

MSC addresses the fact that MSC published a tariff charge for NORs in non-U.S. trades. See Resp. Br. at 21. But MSC mistakes the relevance of its non-U.S. trade publication. As OE pointed out in its brief, this publication is in stark contrast to MSC's silence in the U.S. It should be inferred that MSC knowingly and willfully violated Section 40501 due to its failure to publish in this country, but had long-standing publication in other countries. BEIC Br. at 67.

Respondent fails to address OE's arguments regarding the nature, circumstances, extent, and gravity of its Section 40501 violations. MSC effectively concedes these points and the serious nature, opportunistic circumstances, wide extent, and severe gravity of these 798 violations should be considered in relation to OE's proposed civil penalty amount of at least \$19,609 per violation. Respondent flippantly disregards these violations as one and the same as the Section 41102(c) NOR overcharge violations. Resp. Br. at 32. In doing so, Respondent failed to address the merits of the argument.¹⁶ Respondent's dismissiveness of this violation speaks to the need of a higher civil penalty to deter future violations. Respondent's mistaken conflation of the two statutes ignores the unique significance of Section 40501 and MSC's violations.

In 1983, the Senate floor held a debate regarding whether tariff publication¹⁷ and the enforcement of tariffs by the Commission should be included in the Shipping Act of 1984. 98 CONG. REC. 3179 (1983). Senator Gorton, the sponsor of the bill, argued in favor of tariff requirements. 98 CONG. REC. 3180 (1983) ("[T]ariff requirements . . . both promote competition

¹⁶ While discussing its failure to publish violations, Respondent asserted that it "is not aware of any jurisdiction that can penalize carriers for failing to adhere to any tariff they may publish." Resp. Br. at 21. Respondent forgets that 46 U.S.C. § 41104(a)(2)(A) expressly prohibits a common carrier from providing services that are not in accordance with their rates, charges, classifications, rules, and practices contained in their tariff.

¹⁷ The Senate referred to tariff publication as "tariff filing," but within context the two are synonymous.

and provide certainty in the uncertain world of international trade.”¹⁸). In doing so, he highlighted the importance of tariff publication to the Shipping Act of 1984.

Tariff publication provides the public the information and knowledge to decide whether to patron an ocean common carrier. Id. Published tariffs are necessary for a consumer to be able to make an informed decision regarding their businesses and livelihoods. Id. This information is necessary to hold an ocean common carrier accountable to the rates and charges published. Id. This holds true with ancillary charges such as detention, demurrage, and per diem. Id. Ultimately, the publication statute is necessary to fulfill the Commission’s mission to protect the public from unfair and deceptive practices.

The need for tariff publication is apparent in the present proceeding. Again, the Section 41102(c) violations are distinct and separate from the Section 40501 violations—but it is due to MSC’s failure to publish that many of MSC’s customers did not even know to dispute their

¹⁸ Senator Gordon provided an exhaustive list of why tariff filing requirements were necessary to include in the Shipping Act of 1984, relevant portions are below:

First. Tariff requirements promote competition by providing the shipping public with information on carrier rates and the services included in such rates. This information facilitates comparison shopping by shippers Information is the key to competition . . . competition is not possible in the absence of information as to what prices are. Tariff filing and enforcement simply see to it that every potential shipper can find out what the price of the carriage of goods are and can enforce that price against predatory activity Second. Tariffs also facilitate [the Commission’s] enforcement of critical procompetitive provisions of [the Shipping Act of 1984], such as prohibitions against predatory pricing Open and widely publicizing the tariff terms under which ocean transportation services are offered is the best protection against anticompetitive or predatory conduct. Third. Tariffs facilitate enforcement of the antidiscrimination provisions of the legislation. From tariffs, both shippers and the Federal Maritime Commission are more readily able to determine the existence of discriminatory practices and file complaints and take other enforcement actions. . . . Fifth. Tariffs involve more than just rates, but also set forth what is included in these rates. Loading and unloading practices, demurrage, and other key components of a complete rate/ service offering are reflected in tariffs. Thus, without tariffs, the Federal Maritime Commission would be restricted . . . in its ability to exercise its authority.

charges. Because of the obscurity in the tariff, more than 2,000 customers were incorrectly charged and the few that asked for clarification from MSC were given contradicting answers. Tariff publication provides clarity for both customers and employees, and the failure to do so led to more than \$2 million overcharges in 2021 alone. BEIC PFF202–203. Therefore, to deter future violations of this gravity, the presiding officer should assess a civil penalty of at least \$19,609 per violation.

C. MSC Knowingly and Willfully Violated 46 U.S.C. § 41102(c) by Unreasonably Billing NORs as Reefers

All elements to establish a 46 U.S.C. § 41102(c) violation regarding MSC’s unreasonable billing of NORs as reefers are present in this proceeding. OE met its burden of proof and established a prima facie case supported by credible and credited evidence. See Trans World Logistics, 2012 WL 11914708, at *2 (citation omitted). Respondent failed to rebut several of the elements required of 46 U.S.C. § 41102(c). See 46 C.F.R. § 545.4; see also id. Thus, Respondent effectively concedes that each unaddressed element is met and accepted as true. OE will now address Respondent’s single contention against this violation before addressing the knowing and willful standard and the factors for consideration when assessing a civil penalty.

1. MSC’s Practice of Billing NORs as Reefers Instead of Dry Containers

OE established that MSC normally, customarily, and continuously overcharged NORs the reefer rate instead of the dry container rate. See BEIC Br. at 55–56. Respondent concedes that the normal, customary, and continuous standard is the “normal, customary, often repeated, systematic, uniform, habitual, and continuous manner in which the regulated common carrier was conducting business.” Interpretive Rule, Shipping Act of 1984 (Final Rule Re: Practice), 83 Fed. Reg. 64478, 64479 (Fed. Mar. Comm’n Dec. 17, 2018); see also TCW, Inc. v. Evergreen Shipping

Agency (AM.) Corp. & Evergreen Line Joint Serv. Agreement (TCW), 5 F.M.C.2d 192, 199–200 (FMC 2022) (served Dec. 29, 2022).

Respondent concedes to the above legal standard but asserts that it was MSC’s policy to charge NORs as dry containers. Resp. Br. at 18–20. This does not refute the existence of a normal, customary, and continuous practice to overcharge NORs as reefers. While MSC may have purportedly had a policy to do the opposite, it does not erase the fact that on a normal, customary, and continuous basis 2,629 NORs were overcharged as reefers. BEIC PFF201–203. A supposed “aberration” does not change that MSC charged NORs as reefers 2,629 times out of 11,480 shipments. See BEIC0000139–140. This is a fail rate of 22.9%; meaning that over 1 out of every 5 NORs charged detention and demurrage were incorrectly billed.¹⁹ MSC’s supposed “policy” does not change the fact that MSC overcharged NORs in an “often repeated,” “habitual,” and “continuous manner.” See Final Rule Re: Practice, 83 Fed. Reg. at 64479.

Respondent cites to SeaFair USA LLC v. Sterling Container Line Ltd. and Atlantic Forward Ltd., Docket No. 22-34 (Initial Decision April 15, 2024) to support its contention that because it was MSC’s policy to bill NORs as dry containers, the NOR overcharges could not have been a normal, customary, and continuous basis. The facts in SeaFair are distinguishable from this case, and its holding does not support Respondent’s contention. In SeaFair, the Complainant did not present sufficient evidence to conclude that there was a customary practice. SeaFair at 16. The complainant attempted to prove a negative and the presiding officer concluded that an agreement to pay does not establish a “customary refusal to pay.” Id.

¹⁹ OE again argues that one can infer that there were possibly more billing issues occurring in 2021 and throughout 2022 due to MSC’s concerns regarding the accuracy of its billing with its over \$40 million outstanding detention and demurrage charges. See BEIC PFF208; see also Resp. Br. at 20, 34.

Unlike SeaFair, OE has shown and Respondent has admitted that MSC billed NORs as reefers 2,629 times out of 11,480. BEIC PFF201; Resp. Br. at 18. Furthermore, MSC alleges that this was a systematic error embedded with MSC's billing system. Resp. Br. at 18–19. MSC's policy is irrelevant if MSC consistently failed to enforce it. See 46 U.S.C. § 41102(c). The resulting overcharges in excess of \$2 million negatively affected the shipping public over a significant period of time. Thus, the second element of section 41102(c) is met.

2. MSC Knowingly and Willfully Violated 46 U.S.C. § 41102(c) Regarding its 2,629 NOR Overcharges

Respondent fails to address the knowing and willful legal standard and only attempts to rebut the significance of cited evidence that MSC knowingly and willfully overcharged its NOR customers the reefer rate. Nevertheless, Respondent does not successfully rebut that MSC and its employees—such as Mr. Sidoti—acted with obstinate behavior akin to gross negligence with respect to the NOR overcharges.

Respondent avers that Mr. Sidoti's affidavit rebuts the conclusion that MSC knowingly and willfully violated Section 41102(c). But Respondent does not elaborate *how* Mr. Sidoti's affidavit proves that MSC did not meet the standards of knowing and willful. Respondent only contends that it “demonstrates that MSC did not have a policy of billing NORs as reefer containers.” Resp. Br. at 22. Respondent fails to understand that the lack of an explicit policy or confession that MSC purposefully billed NORs as reefers does not preclude that MSC knowingly and willfully violated Section 41102(c).

Respondent argues that “MSC remedied the problem soon after it was discovered.” Resp. Br. at 22. But the facts do not support that MSC remedied the problem as NOR customers were still being overcharged the reefer rate well after September 16, 2021. BEIC PFF210–83. MSC

concedes this but tries to rationalize this as “mistakes and problems.” Resp. Br. at 24. If this was truly as simple as a “systems issue,” as MSC purports it to have been, then a true remedy would mean that no NORs were charged the reefer rate after MSC supposedly “fixed” the issue. See Resp. Br. at 23–24. Respondent cannot eat its cake and have it too. See generally Resp. Br. at 28 n.21 (“ . . . it should be considered a mitigating factor that all instances of NORs being charged as operating reefers stemmed from this single mistake”).

The facts support a more likely explanation to the NOR overcharges. Which is that MSC knew and had knowledge of the facts of the violation and then acted with “reckless disregard and plain indifference to the Act” by taking the word of only one port that the issue was fixed while still receiving emails from other ports that were still having issues. BEIC PFF 207, BEIC PFF230–32, BEIC PFF244–45, BEIC PFF 255–56, BEIC PFF261–62. See also BEIC Br. at 65; Parks Int’l Shipping, Inc., Docket No. 06-09, 2013 WL 9808960, at *4 (Fed. Mar. Comm’n Sept. 16, 2013) (Commission report and order adopting initial decision in part and vacating initial decision in part). And then MSC failed to inform itself, or even attempt to inform itself that the NOR overcharge issue was still occurring, and MSC acted in gross negligence akin to obstinate behavior by not proactively trying to truly fix the issue. Thus, MSC failed to enforce a just and reasonable practice when it allowed “mistakes and problems” to occur after having knowledge of the issue.

Furthermore, merely changing the billing code does not “fix the issue,” as customers were still facing the unreasonable consequence from MSC’s normal, customary, and continuous practice. The unreasonable impacts of MSC’s actions were still occurring well past September 16, 2021. BEIC PFF210–83; see also BEIC Br. at 56–57, 70–72. Claiming and then operating as if the issue was fixed even after the reception of many disputes—some of which were only answered after persistent pursuit—is akin to obstinate behavior, and thus meets the standard of knowing and

willful.

Alternatively, even if MSC “fixed the clerical error” and “fixed the issue”, MSC still knowingly and willfully violated Section 41102(c) through its gross negligence. If Mr. Sidoti knew about the NOR overcharge issue on September 2, 2021²⁰, the clerical issue still was not corrected until two weeks later. Respondent itself showcases a dispute involving a vessel that arrived on September 8, 2021, and departed on September 10, 2021. Resp. Br. at 23. This highlights the consequence of Mr. Sidoti’s failure to act within two weeks of discovering a supposed “clerical error.” Such a delay speaks to MSC’s reckless disregard and plain indifference to the Shipping Act. Therefore, for all the reasons above, MSC committed its 2,629 Section 41102(c) NOR violations knowingly and willfully.

3. OE Civil Penalty Calculation for MSC’s 46 U.S.C. § 41102(c) Unreasonable NOR Billing

Respondent distorts the nature of their Section 41102(c) violations as a “failure to adhere perfectly to a lawful policy of applying MSC’s tariff in favor of the customer.”²¹ Resp. Br. at 27. This representation falls short of the reality of the MSC’s 2,629 Section 41102(c) NOR overcharge violations. These violations were iniquitous in nature, vast in extent, and severe in their gravity. MSC was paid \$2,059,584.37 in unlawful NOR detention and demurrage fees in 2021 alone. BEIC PFF202–203. MSC itself recognizes the chaos of 2021 on the shipping industry. Resp. Br. at 27. Yet Respondent ignores its exploitive gain in the tumult of supply chain congestion, freight fluidity, and “large numbers of questions and disputes regarding demurrage and detention.” Id. In

²⁰ Mr. Sidoti’s knowledge is reflective of the MSC’s knowledge as he is an employee of MSC. But he is not the sole MSC employee. MSC employees were made aware of the NOR reefer and dry container discrepancy on [REDACTED], thus MSC was made aware well before September 2, 2021. BEIC PFF210.

²¹ Again, Respondent conflates its failure to publish and its subsequent interpretation of its own ambiguous tariff with its failure to enforce a just and reasonable practice.

light of all of this, OE proposes a civil penalty of a minimum of \$17,609 per violation. This civil penalty is justified considering the negligent (at best) and malicious (at worst) nature of these violations.

D. Proposed Civil Penalty Amounts are Lawful and Required to Deter Future Violations

1. Proposed Civil Penalty Amounts for Violating the Shipping Act were Considered by Congress

The proposed civil penalty amount for 2,647 section 41102(c) violations (18 merchant clause and 2,629 NOR overcharges) and 798 section 40501 violations is lawful. Respondent argues that the proposed amount is “unlawful on its face,” forgetting that the Shipping Act and executing regulations explicitly provide for such amounts. See 46 U.S.C. § 41107. Respondent points to the precedential proposed amount yet fails to consider the 3,445 violations.²² Labelling these proposed civil penalties as “unlawful on its face” is markedly incorrect. A plain reading of the statute and regulations expressly provide for OE’s civil penalty calculations and there is clear Congressional intent within the legislative history.

The legislative history demonstrates that Congress explicitly considered the civil penalty calculation proposed in this proceeding. On February 24, 1983, Senator Inouye—one of the cosponsors of the bill—addressed the Senate regarding “treble damages,” and the language in the statute soon to become 46 U.S.C. § 41107.

²² Respondent asks the presiding officer to compare recent settlements to the case today—namely Docket No. 21-09, which was settled for \$2 million. To compare the two cases, the presiding officer in Docket No. 21-09 found that there were 14 violations and assessed an amount of \$58,730 for each of the 14 violations. Hapag-Lloyd, A.G. and Hapag-Lloyd (America) LLC—Possible Violations of 46 U.S.C. § 41102(c) (Hapag-Lloyd 21-09), 4 F.M.C.2d 53, 94 (ALJ April 22, 2022). This was not the maximum amount that could have been applied. To compare these numbers to the present proceeding, with each violation as a knowing and willful violation, the calculation would be as follows: 3,445 x \$58,730 = \$202, 324, 850. In comparison and totality of the circumstances, OE’s calculations are rational, conservative, and narrowly tailored to the violations at issue.

Treble damages under the antitrust laws are not intended to be compensatory; rather, the “treble damage” provision of the antitrust laws is a deterrent feature, which is mild by comparison with the liability exposure of one who violates the Shipping Act prohibitions—action that could lead to 10 times the criminal fine under the anti-trust laws. . . .

The attached hypothetical illustrates that penalties for violations of [the bill] are potentially 10 times greater than the Sherman Act criminal fines and 1916 act civil penalties combined.

Hypothetical

Assume facts which clearly violate both the current Shipping Act, 1916, and the Sherman Act and assume that the same facts violate [the bill]:

A and B are competitors in the liner trade. They serve the same multiple ports. They agree to an allocation of ports, to an allocation of customers and to maintaining prices at artificially high levels.

A and B implement their agreement without filing it with the FMC and operate under the untitled unapproved agreement for 2 years before it is discovered.

Under a one-count Sherman Act Indictment, each would face a maximum fine of \$1,000,000.

Under [the bill], the penalty for an unaggravated violation of the statute would be up to \$5,000 per day. In this hypothetical, the violation would probably be found to have been willful and knowing-bringing the maximum civil penalty to \$25,000 per day for each carrier: a total of \$18,200,000 each versus the \$1,728,000 under the Sherman and 1916 acts combined.

98 CONG. REC. 3009 (1983). Senator Inouye’s hypothetical demonstrates that Congress specifically considered and intended for the calculation and accumulation of larger sums in civil penalties when passing the Shipping Act of 1984. Relevant to this proceeding, the Senator applied the maximum amount in his knowing and willful hypothetical, and considered and calculated a separate violation for each day of a continuing violation within a two year period. This is notably similar to OE’s Section 40501 civil penalty calculation.

2. Proposed Civil Penalty Amounts for Violating the Shipping Act Make Sound Enforcement and Deterrence Policy

Respondent recognizes the value of consistency in the assessment of civil penalties. Resp. Br. at 25. Yet, Respondent balks at OE’s attempt for consistent enforcement by pointing out that the proposed amount is “greater than any penalty ever collected by the Commission.” *Id.* Respondent fails to take into account the 3,445 violations in controversy in this proceeding.

Unequivocally, consistent enforcement within a government agency is a good thing. OE posits that the Commission would be consistent if it applied these proposed civil penalties. While the aggregate amount is precedential, the civil penalty per violation is consistent with how the Commission has found previous violations against the Shipping Act. To deviate from this due to the precedential number of violations and subsequent civil penalty amount would be giving MSC a volume discount for its egregiously numerous violations.

In setting forth arguments against OE's recommended civil penalty amount, Respondent inappropriately relies on several prior Commission cases such as Hudson Shipping (Hong Kong) Ltd. d/b/a Hudson Express Lines – Possible Violations of Section 10(a)(1) of the Shipping Act of 1984, Docket No. 02-06, 2003 WL 21677927 (ALJ 2003) and Stallion Cargo, Inc.—Possible Violations of Sections 10(a)(1) and 10(b)(1) of the Shipping Act of 1984, Docket No. 99-18, 2001 WL 35725562 (Fed. Mar. Comm'n Oct. 18, 2001) to support its argument that the level of penalties at issue in this proceeding is unwarranted. Both of these cases are distinguishable from the current proceeding for reasons that are entirely unhelpful to Respondent's argument. The context within which these cases were decided either by an ALJ or the Commission makes a notable difference. First, unlike Respondent who is currently the largest ocean common carrier in the world, both Hudson Shipping (Hong Kong) Ltd. (Hudson) and Stallion Cargo, Inc. (Stallion) were, by comparison, small non-vessel-operating common carriers (NVOCC) with corresponding smaller abilities to pay a civil penalty. Second, in both cases, the extent of the violations was significantly lower than what is currently at issue in this proceeding.

In determining the appropriate civil penalty with respect to Hudson, the ALJ noted that, despite the limited availability of financial information, Hudson's net worth was \$1,383,403 and that Hudson employed 13 people. Hudson Shipping, 2003 WL 21677927, at *6. Notably,

Hudson's small footprint in the maritime industry stands in stark contrast to the enormous size of MSC's global presence and network. BEIC PFF4–7. Despite the lack of extensive financial information, the ALJ opined that the Commission is:

not confined to assessing a penalty based solely upon Hudson's current operating revenues. Consideration must be given to the gravity and extent of the violations, Hudson's culpability, its history of prior offenses and the deterrence of violations by imposing greater civil penalties. Civil penalties are punitive in nature and the main Congressional purpose of imposing civil penalties is to deter future violations of the 1984 Act.

Id. Within that context, the ALJ proceeded to assess a civil penalty in the amount of \$7,900,000 for Hudson's 120 violations of the Shipping Act and 208 days that Hudson operated as a NVOCC without a surety bond. Id. at *8.

Unlike Hudson where there were 120 violations and 208 days of unbonded activity, the quantity of the violations in this proceeding exceeds 3,000 instances including 798 days of continuing violations and was committed by an ocean common carrier that is considered a global leader in container shipping. BEIC PFF4–7. Moreover, contrary to Respondent's assertion, Hudson's \$7.9 million civil penalty is not the highest penalty assessed or collected by the Commission in its history. In 1990, the Trans Pacific Carriers Agreement resulted in a civil penalty of \$20,105,950²³ while in 1991, Trans Pacific Cargo Interests paid \$18,964,857²⁴ in civil penalties. Adjusted for inflation in today's dollars, these amounts are approximately \$48,046,913 and \$43,489,953, respectively.²⁵ The potential maximum civil penalty for MSC's 3,445 violations in this proceeding is \$251,640,025. Therefore, OE's recommended penalty amount of \$63,256,853

²³ See FEDERAL MARITIME COMMISSION 29TH ANNUAL REPORT FOR FISCAL YEAR 1990, https://www.fmc.gov/wp-content/uploads/2018/09/ANNUAL_REPORT_1990.pdf (last visited May 17, 2024).

²⁴ See FEDERAL MARITIME COMMISSION 30TH ANNUAL REPORT FOR FISCAL YEAR 1991, https://www.fmc.gov/wp-content/uploads/2018/09/ANNUAL_REPORT_1991.pdf (last visited May 17, 2024).

²⁵ See U.S. INFLATION CALCULATOR, <https://www.usinflationcalculator.com/> (last visited May 14, 2024).

is on the lower end of the range for knowing and willful violations. Moreover, this penalty amount seems fair and appropriate when considered in conjunction with the fact that MSC's profits were purported to exceed \$27 billion at the height of the COVID pandemic in 2021 and 2022.²⁶

As to Stallion, the ALJ's Initial Decision determined that it is a "small company with limited financial resources and operates exclusively in the trade between Florida and Aruba". Stallion Cargo, Inc., Docket No. 99-18, 2001 WL 379928, at *9 (Fed. Mar. Comm'n March 15, 2001). In its decision on exceptions, the Commission considered Stallion's size and limited ability to pay while also noting that "[c]ivil penalties are punitive in nature, and . . . the main Congressional purpose of imposing civil penalties is to deter future violations of the Shipping Act." Stallion Cargo Inc., 2001 WL 35725562, at *19. The Commission assessed a civil penalty of \$1,340,000 based on the ALJ's finding of 134 knowing and willful violations committed by a small NVOCC operating solely in the trade between Florida and Aruba. Id. at *20. Unlike the factual scenario in Stallion, the quantity of the violations cited against MSC in this proceeding exceeds 3,000 instances and was committed by the largest ocean common carrier that operates over 800 vessels involving 300 trade routes. BEIC PFF4.

Respondent also cites to the Commission's determination in Sea-Land Service Inc. – Possible Violations of Sections 10(b)(1), 10(b)(4) and 19(d) of the Shipping Act of 1984, Docket No. 98-06, 2006 WL 2007809 (Fed. Mar. Comm'n Feb. 8, 2006) to lower the civil penalty imposed by the ALJ in the amount of \$4,082,500 to \$820,000 as a basis for the ALJ's consideration of a reduced civil penalty amount in the current proceeding. The Order of Investigation and Hearing

²⁶ See SHIPPING GIANT MSC VOWS TO FIGHT 'EXCESSIVE' \$63M FMC FINE, <https://www.ttnews.com/articles/shipping-msc-63m-fmc-fine#:~:text=The%20Geneva%2C%20Switzerland%2Dbased%20company,50%20global%20freight%20carriers%20list>. (last visited May 14, 2024).

initiating FMC Docket No. 98-06 against Sea-Land Service Inc., (Sea-Land), a vessel-operating common carrier, was issued by the Commission on April 24, 1998. Sea-Land Service Inc. Possible Violations of Sections 10(b)(1), 10(b)(4) and 19(d) of the Shipping Act of 1984; Order of Investigation and Hearing, 82 Fed. Reg. 23466 (Fed. Mar. Comm’n April 29, 1998); 28 S.R.R. 415 (FMC 1998). The Order spoke to Sea-Land’s alleged violations of the Shipping Act that occurred in 1997. Sea-Land Service Inc. Possible Violations of Sections 10(b)(1), 10(b)(4) and 19(d) of the Shipping Act of 1984; Order of Investigation and Hearing, 82 Fed. Reg. 23466, 23467 (Fed. Mar. Comm’n April 29, 1998); 28 S.R.R. 415, 416 (FMC 1998). The proceeding lasted until February 8, 2006, when the Commission issued its Order Affirming Initial Decision in Part and Assessing Civil Penalties for Violations of Section 10(b)(4) of the Shipping Act of 1984, Sea-Land Service Inc., 2006 WL 2007809, at *1. In the meantime, the Ocean Shipping Reform Act of 1998 (OSRA 1998) became effective on May 1, 1999.²⁷ Sea-Land’s violations at the heart of Docket No. 98-06 all occurred prior to the implementation of OSRA 1998 whose amendments to the Shipping Act focused in large part on deregulation and “produc[ing] a more market-driven liner shipping industry”²⁸

In discussing the appropriate penalty amount, the Commission found Sea-Land’s 149 violations to be knowing and willful.²⁹ Sea-Land Service Inc., 2006 WL 2007809, at *25. And

²⁷ See OCEAN SHIPPING REFORM ACT OF 1998, <https://www.congress.gov/105/plaws/publ258/PLAW-105publ258.pdf> (last visited May 19, 2024).

²⁸ See OCEAN SHIPPING REFORM ACT, AN INTERIM STATUS REPORT, [HTTPS://WWW.FMC.GOV/WP-CONTENT/UPLOADS/2019/04/OSRA_INTERIM_STATUS_REPORT.PDF](https://www.fmc.gov/wp-content/uploads/2019/04/OSRA_INTERIM_STATUS_REPORT.PDF) (last visited May 19, 2024).

²⁹ In applying the penalty factors, including history of prior offenses, the Commission stated that “[t]he absence of a history of prior offenses would normally tend to serve as a mitigating factor in our consideration of a penalty assessment. However, in this case this factor is neutralized by the utter disregard Sea-Land exhibited in pursuing its ends through means that it knew violated the Shipping Act. Sea-Land’s prior record cannot serve to negate the seriousness of its knowing and willful violations.” Sea-Land Service Inc., 2006 WL 2007809, at *25. A similar analysis applies to MSC in this proceeding. MSC’s level of culpability with respect to its violations completely

although these violations were all pre-OSRA, the Commission nevertheless found it “necessary and prudent to balance the gravity of Sea-Land’s violations of the pre-OSRA Shipping Act against the impact of OSRA in changing the legal landscape relative to conduct such as that of Sea-Land if engaged in today. In other words, under OSRA, Sea-Land’s conduct would now be lawful if undertaken pursuant to properly executed and filed service contracts.” Id. The Commission acknowledged that Sea-Land’s pre-OSRA violative activity became “largely obsolete” and that this, in turn:

sharply reduced need for the Commission to impose a penalty here for the purpose of deterring conduct similar to that of Sea-Land. The Commission’s long-established resolve to specifically deter future violations by a respondent or, more broadly, to deter such conduct by other carriers is appropriate where the unlawful conduct remains a real concern.

Id. at *26. Within this context, the Commission reduced Sea-Land’s penalty amount to \$820,000 while also seeking to penalize Sea-Land “and provide notice to others that the Commission takes seriously its obligation to enforce the Shipping Act.” Id. at *27.

In this proceeding, the knowing and willful violations alleged against MSC far outnumber Sea-Land’s 149 violations considered by the Commission in Docket No. 98-06. Like Sea-Land Service Inc., the violations alleged against MSC in the Commission’s Order of Investigation and Hearing occurred prior to the effectiveness of the Ocean Shipping Reform Act of 2022 (OSRA 2022) on June 16, 2022.³⁰ However, more importantly, unlike OSRA 1998, OSRA 2022 amended the Shipping Act “with respect to prohibited acts by ocean common carriers or marine terminal operators. . . .” Ocean Shipping Reform Act of 2022, 136 Stat. 1272 (2022). In other words,

neutralizes any consideration by the ALJ of an absence of a history of prior offenses in determining an appropriate civil penalty.

³⁰ See OCEAN SHIPPING REFORM ACT OF 2022, <https://www.congress.gov/117/plaws/publ146/PLAW-117publ146.pdf> (last visited May 19, 2024).

OSRA 2022 increased regulation with respect to ocean common carriers such as MSC and specifically expanded authority of the Commission by requiring it to

(1) investigate complaints about detention and demurrage charges (i.e., late fees) charged by common ocean carriers, (2) determine whether those charges are reasonable, and (3) order refunds for unreasonable charges. It also prohibits common ocean carriers, marine terminal operators, or ocean transportation intermediaries from unreasonably refusing cargo space when available or resorting to other unfair or unjustly discriminatory methods.

CONGRESS.GOV, S.3580 – OCEAN SHIPPING REFORM ACT OF 2022: SUMMARY, (2022), <https://www.congress.gov/bill/117th-congress/senate-bill/3580> (last accessed May 20, 2024).

Moreover, in enacting OSRA 2022, Congress mandated that the Commission implement a series of rulemakings including one involving billing of detention and demurrage charges to include “a determination of which parties may be appropriately billed for any demurrage, detention, or other similar per container charges.” Ocean Shipping Reform Act of 2022, 136 Stat. 1276 (2022).³¹

If the Commission’s analysis in Sea-Land Service Inc. is to be instructive in this proceeding, it is to speak to the fact that MSC’s violative activity must be viewed in the context of OSRA 2022 insofar as this statute expands the Commission’s oversight and imposes greater regulation of ocean common carrier practices. Moreover, there is no evidence in the record that MSC has altered its billing practices with respect to third parties, an issue that has persisted in the industry but was brought fully to the regulatory forefront by OSRA 2022. Therefore, as to the deterrence factor that must be considered in civil penalty assessments, the continuation of MSC’s violative conduct remains a highly relevant and ongoing concern.

Finally, Respondent invokes the \$2 million penalty that Hapag-Lloyd paid as part of its

³¹ The Commission’s Final Rule regarding demurrage and detention billing requirements goes into effect on May 28, 2024. 89 Fed. Reg. 14330 (Fed. Mar. Comm’n Feb. 26, 2024).

settlement in Docket No. 21-09 to support the argument that Respondent’s civil penalty “should be similar to or lower” than this \$2 million settlement. Resp. Br. at 26. The proceeding in Docket No. 21-09 was based on eleven (11) invoices issued by Hapag-Lloyd in the spring and summer of 2021. See Hapag-Lloyd 21-09, 4 F.M.C.2d 53, 94. By contrast, the extent of the violations in this proceeding exceeds 3,000 instances and involves a much greater amount of detention and demurrage overcharges than what was at issue in Docket No. 21-09. Much like with Hudson, Stallion, and Sea-Land Service Inc., Respondent’s attempt to equate this proceeding to one involving Hapag-Lloyd is convoluted and misplaced.

3. There Remain No Mitigating Factors to Consider

Respondent argues that its refunds of NOR overcharges should be a “significant” mitigating factor. Resp. Br. at 35. But Respondent only “voluntarily” refunded 925 overcharges prior to the commencement of this proceeding.³² See Resp. Br. at 32 n.25. The inverse meaning behind Respondent’s claim is that it was only *after* the commencement of this proceeding that MSC took it upon itself to refund the overcharged NOR customers who had not disputed its overcharges. It is not a mitigating factor that MSC was aware of its NOR overcharges on September 2, 2021³³ and only began to refund its other customers until after the commencement of this proceeding in August of 2023.

4. The Correct Civil Penalty Amount is the 2024 Inflation Adjustments

Respondent incorrectly asserts that civil penalties are assessed based on the “amounts in effect at the time of the conduct in question.” Resp. Br. at 30–31. In 2016, the Commission

³² And these refunds only occurred because MSC’s customers had to first doggedly dispute the overcharges. See BEIC PFF210–83.

³³ OE maintains that MSC was aware of this issue before September 2, 2021.

published 46 C.F.R. § 506.5, which provides that, “[a]ny adjustment in a civil monetary penalty under this part shall apply only to civil monetary penalties, including those whose associated violation predated such increase, which are assessed after the date the adjustment takes effect.” See also Inflation Adjustment of Civil Monetary Penalties, 81 Fed. Reg. 42552 (Fed. Mar. Comm’n June 30, 2016). To aid interpretation, a plain reading assessment of this regulation is below.

The first clause of the regulation dictates that inflation adjustments only apply to civil penalties. Id. The word “including,” after the comma, extends the previous clause to the second clause—“those whose associated violations predated such increase.” Thus, the word “those,” refers to “civil penalties,” meaning that inflation adjustments apply to civil penalties whose “associated violations” occurred before the inflation adjustment.

In the next clause, the word “which” further specifies and refers to the word “those,” i.e. the previously discussed civil penalties. The phrase after “which,”—“assessed after the date the adjustment takes effect”—applies to “those”, i.e. the previously discussed civil penalties. In full, the last clause means that civil penalties assessed after the date the inflation adjustment takes effect are applied the inflation adjustment.

Respondent relies on several cases that do not take this regulation and its plain meaning into account. Hapag-Lloyd, for instance relied on cases that occurred prior to the publication of 46 C.F.R. § 506.5. Hapag-Lloyd 21-09, 4 F.M.C.2d at 94. Therefore, the proper civil penalty amounts are the 2024 inflation adjustments.

III. CONCLUSION

For the reasons set forth above, OE respectfully requests the ALJ find MSC to be in

violation of the Shipping Act at 46 U.S.C. §§ 41102(c) and 40501. There are no mitigating circumstances that should apply as MSC committed these violations knowingly and willfully. Therefore, OE requests the ALJ enter judgement against MSC and impose an appropriate civil penalty in an amount no less than \$63,256,853.00. Responsive to the Order of Investigation, the ALJ should also order MSC to cease and desist violating the Shipping Act at 46 U.S.C. § 41102(c).

Respectfully submitted,

May 20, 2024

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CERTIFICATE OF SERVICE

I hereby certify that on this **20th day of May, 2024** a copy of the foregoing has been served upon all counsel of record in accordance with 46 C.F.R. Part 502.

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